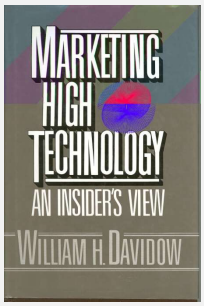
EAS5450 Quiz
8:35 – 8:45am
Canvas Quizzes

# The Winning Strategy

William Davidow




1. Devices to Products
2. Establish a Defensible Position
3. High-Tech Marketing

EAS5450: Class #3

## "Devices" ⇒ "Complete Products"

**What we invent** **What customers buy**

Technology-Driven ⇒ Market-Driven

# Product-Market Fit

Establish a

## Defensible Position

1. Segment market into small ponds

## Some Segmenting Factors

**"Psychographic Homogeneity"**

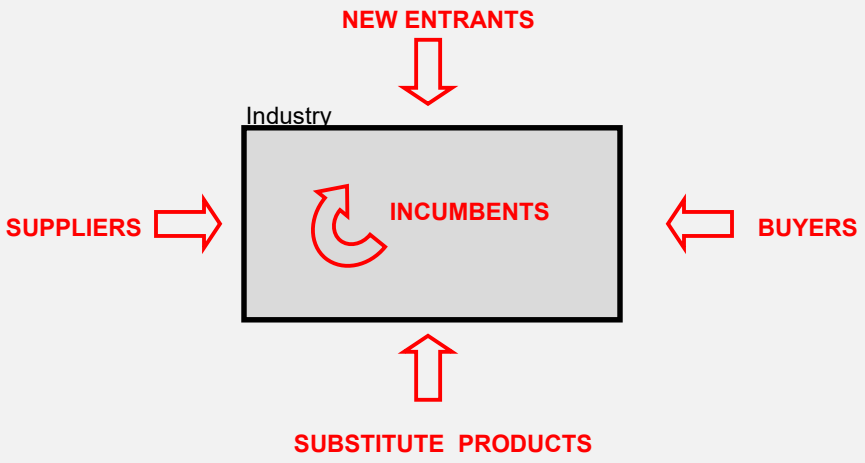
- Quality
- Distribution channels
- Brand image
- Services
- Price
- Geography
- Documentation/Tech support
- Customer needs for credit
- Etc.

**Establish a**

## Defensible Position

1. Segment market into small ponds
2. Don't attack a fortified hill
3. Focus on the segment
4. Create a commanding, defensible position

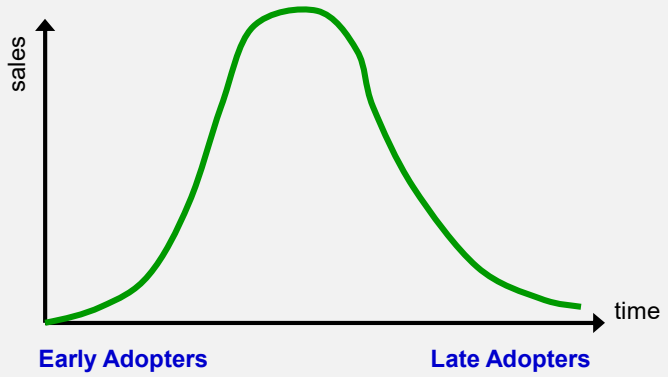
# 5 Forces




## Establish a
# Defensible Position

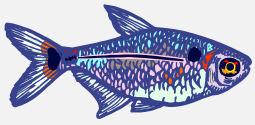
1. Segment market into small ponds
2. Don’t attack a fortified hill
3. Focus on the segment
4. Create a commanding, defensible position
5. Reposition as customer base evolves

## Positioning = Segmentation + Differentiation




## Commanding, Defensible Positions

1. Segment market into small ponds
2. Don't attack a fortified hill
3. Focus on the segment
4. Create a commanding, defensible position
5. Reposition as customer base evolves



# High Tech Marketing

Sales People

High Tech

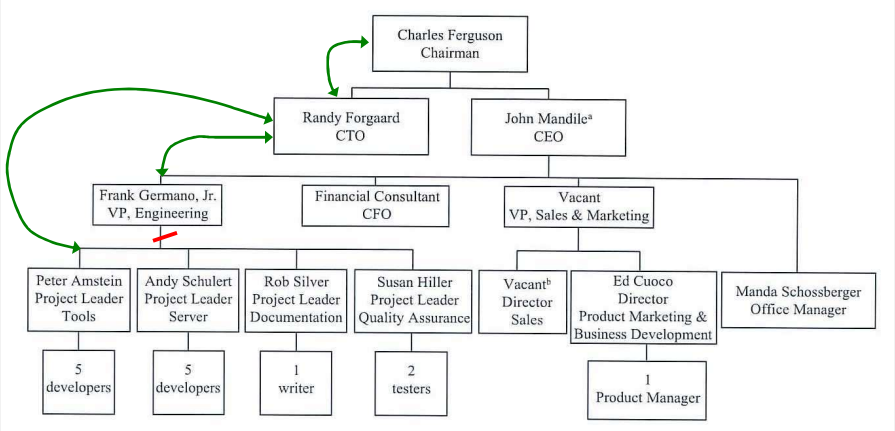
Advertising

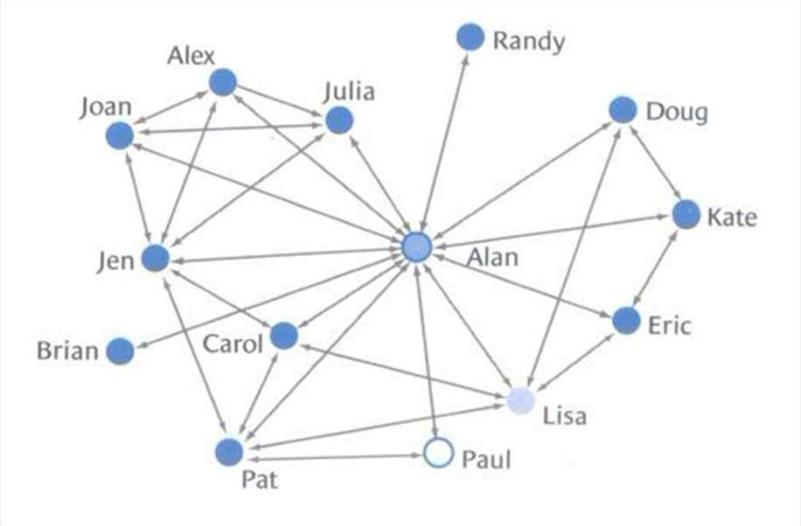
Consumer Products

# Vermeer Technologies

EAS5450

## "High Status Friend" / "Shuttle Diplomat"

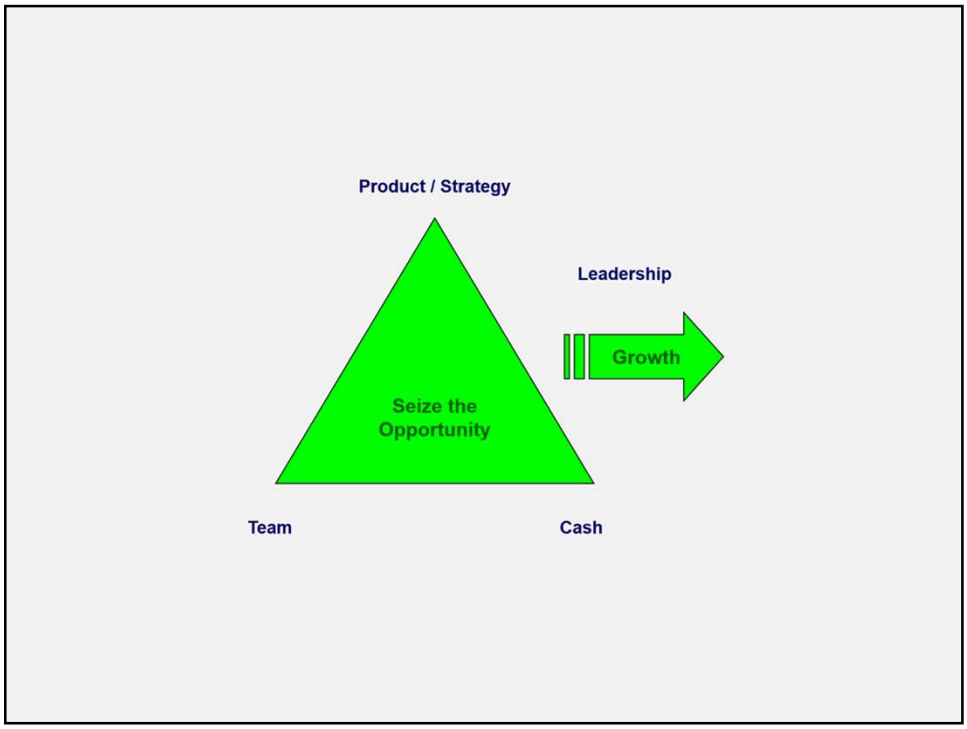


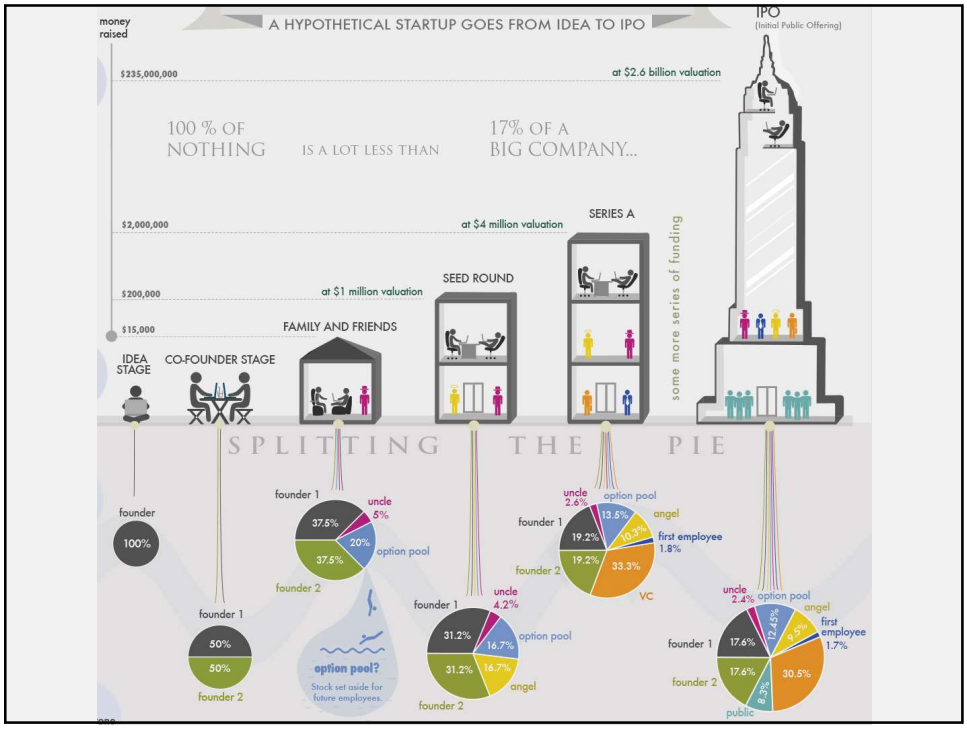




Central Connectors & Peripheral Specialists

Though Lisa is the head of the department, Alan is considered the go-to person for information within this informal network. Meanwhile, Paul operates on the perimeter, offering expertise as needed, but not necessarily connecting frequently with many other colleagues.

*"The People Who Make Organizations Go – or Stop"*
*Harvard Business Review, June 2002*


Product / Strategy
Leadership
Growth
Seize the Opportunity
Team
Cash


money raised
A HYPOTHETICAL STARTUP GOES FROM IDEA TO IPO
IPO
(Initial Public Offering)
$235,000,000
at $2.6 billion valuation
100 % OF NOTHING
IS A LOT LESS THAN
17% OF A BIG COMPANY...
$2,000,000
at $4 million valuation
SERIES A
some more series of funding
$200,000
at $1 million valuation
SEED ROUND
$15,000
FAMILY AND FRIENDS
IDEA STAGE
CO-FOUNDER STAGE
SPLITTING THE PIE
founder
100%
founder 1
50%
50%
founder 2
founder 1
37.5%
uncle 5%
20%
option pool
37.5%
founder 2
option pool?
Stock set aside for future employees.
founder 1
uncle 4.2%
31.2%
16.7%
option pool
31.2%
16.7%
angel
founder 2
uncle 2.6%
option pool
13.5%
angel
founder 1
19.2%
10.5%
first employee 1.8%
founder 2
19.2%
33.3%
VC
uncle 2.4%
option pool
angel
first employee 1.7%
founder 1
17.6%
12.45%
9.5%
founder 2
17.6%
30.5%
8.3%
public

## Post-Money Valuation

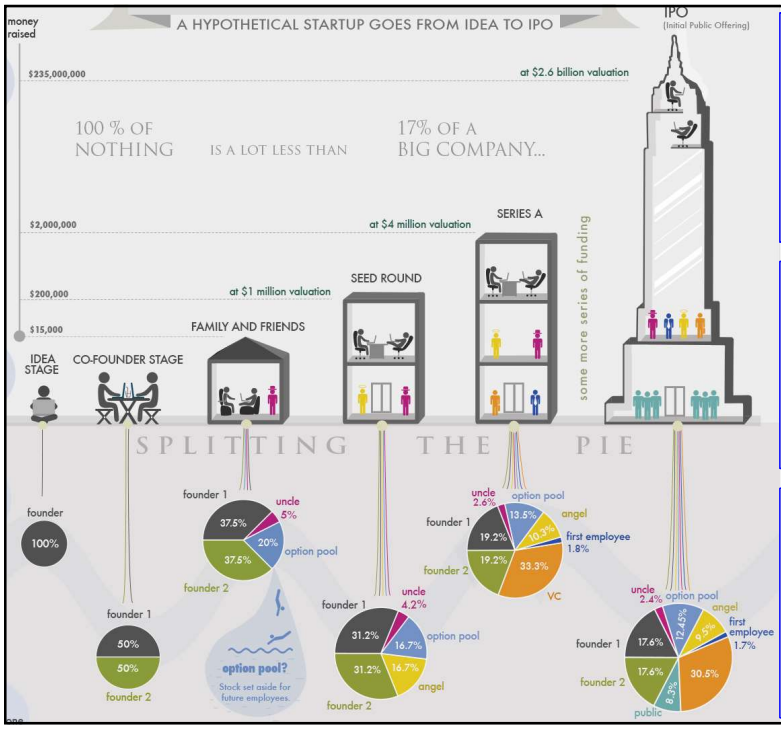
$$\text{Post} - \text{Money Valuation} = \frac{\text{Investment (\$)}}{\%_{\text{Acquired}}}$$

*An investor offers to invest $2 million in return for 25% ownership of your company. They're saying 25% of your company is worth $2 million; therefore, they value 100% of your company at $8 million (after their money is invested).*

## Pre-Money Valuation

$$\text{Pre} - \text{Money Valuation} = (\text{Post} - \text{Money Valuation}) - (\text{Investment})$$

*The investor who valued your company at $8 million after their $2 million invested, is saying your company is worth $6 million before their money is invested.*




**SEED ROUND**:

$0.2M @ $1M Pre-Money Val'n.

Post-Money Val'n = $1.2M

% Acquired = $0.2M/$1.2M = 16.7%

**SERIES A**:

$2M @ $4M Pre-Money Val'n.

Post-Money Val'n = $6M

% Acquired = $2M/$6M = 33.3%

**IPO**:

$235M @ $2.6B Pre-Money Val'n.

Post-Money Val'n = $2.835B

% Sold at IPO = $235M/$2.835B = 8.3%

| | Jan-95 |
|---|---|
| Investment | ***$4.0MM*** |
| Pre-Money Valuation | 3.8MM |
| Post-Money Valuation | 7.8MM |
| | |
| Investors | ***51.0%*** |
| C. Ferguson | ***13.0%*** |
| R. Forgaard | ***5.0%*** |
| F. Germano | ***4.0%*** |
| Others | ***27.0%*** |
| Total | 100.0% |

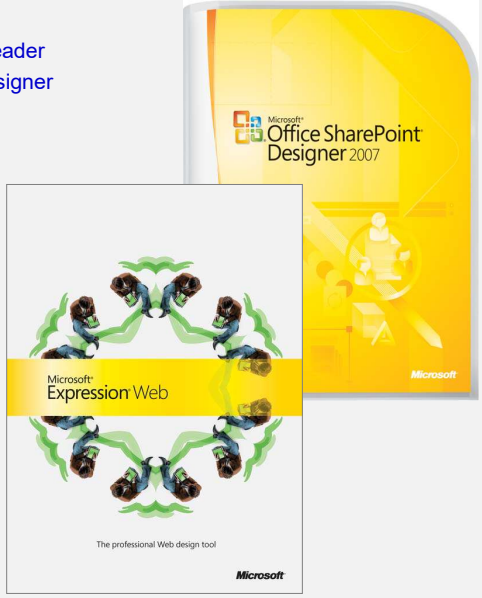
***Italics*** *= info provided in case*

| | Jan-95 | Nov-95 | | Offer |
|---|---|---|---|---|
| Investment | ***$4.0MM*** | ***$1.8MM*** | | |
| Pre-Money Valuation | 3.8MM | ***32.0MM*** | | |
| Post-Money Valuation | 7.8MM | 33.8MM | | |
| | | | | |
| Investors | ***51.0%*** | 5.3% | 53.6% | $37.5MM |
| C. Ferguson | 13.0% | | 12.3% | 8.6MM |
| R. Forgaard | 5.0% | | 4.7% | 3.3MM |
| F. Germano | 4.0% | | 3.8% | 2.7MM |
| Others | 27.0% | | 25.6% | 17.9MM |
| Total | 100.0% | | 100.0% | ***70.0MM*** |

***Italics*** *= info provided in case*

| | Jan-95 | Nov-95 | | Offer | MSFT Deal |
|---|---|---|---|---|---|
| Investment | ***$4.0MM*** | ***$1.8MM*** | | | |
| Pre-Money Valuation | 3.8MM | ***32.0MM*** | | | |
| Post-Money Valuation | 7.8MM | 33.8MM | | | |
| | | | | | |
| Investors | ***51.0%*** | 5.3% | 53.6% | $37.5MM | $69.7MM |
| C. Ferguson | 13.0% | | 12.3% | 8.6MM | 16.0MM |
| R. Forgaard | 5.0% | | 4.7% | 3.3MM | 6.2MM |
| F. Germano | 4.0% | | 3.8% | 2.7MM | 4.9MM |
| Others | 27.0% | | 25.6% | 17.9MM | 33.2MM |
| Total | 100.0% | | 100.0% | ***70.0MM*** | 130.0MM |

***Italics*** *= info provided in case*

# FrontPage

- Consumer web development market leader
- Subsequent products: SharePoint Designer 2007 and Expression Web design tool